



Keep Looking Ahead

Q3 Fiscal 2026 Earnings

Quarter Ended March 31, 2026 • Reported April 29, 2026

Forward Looking Statements

Statements in this presentation other than historical facts, such as statements pertaining to: (i) future industry demand for semiconductors, WFE, and advanced packaging; (ii) our market position for the future and future growth in demand for our products; (iii) our forecast of financial measures for the following quarter, calendar 2026, calendar 2027 and our 2030 target model; (iv) our future revenues by customer segment; (v) our long-term financial targets and underlying assumptions; (vi) our future investment plan on R&D, technology, manufacturing capacity and infrastructure; and (vii) future shareholder returns, are forward-looking statements and subject to the Safe Harbor provisions created by the Private Securities Litigation Reform Act of 1995.

These forward-looking statements are based on current information and expectations and involve a number of risks and uncertainties. Actual results may differ materially from those projected in such statements due to various factors, including but not limited to: our vulnerability to a weakening in the condition of the financial markets and the global economy; risks related to our international operations; evolving Bureau of Industry and Security of the U.S. Department of Commerce rules and regulations and their impact on our ability to sell products to and provide services to certain customers in China; tariffs and other trade restrictions; costly intellectual property disputes that could result in our inability to sell or use the challenged technology; risks related to the legal, regulatory and tax environments in which we conduct our business; differing stakeholder expectations, requirements and attention to ESG matters and the resulting costs, risks and impact on our business; unexpected delays, difficulties and expenses in executing against our environmental, climate, or other ESG target, goals and commitments; our ability to attract, retain and motivate key personnel; our vulnerability to disruptions and delays at our third-party service providers; cybersecurity threats, cyber incidents affecting our and our business partners' systems and networks; our inability to access critical information in a timely manner due to system failures; risks related to acquisitions, integrations, strategic alliances or collaborative arrangements; climate change, earthquake, flood or other natural catastrophic events, public health crises or terrorism and the adverse impact on our business operations; the war between Ukraine and Russia, continued escalation of hostilities in the Middle East, and the significant military activity in those regions; lack of insurance for losses and interruptions caused by terrorists and acts of war, and our self-insurance of certain risks including earthquake risk; risks related to fluctuations in foreign currency exchange rates; risks related to fluctuations in interest rates and the market values of our portfolio investments; risks related to tax and regulatory compliance audits; any change in taxation rules or practices and our effective tax rate; compliance costs with federal securities laws, rules, regulations, NASDAQ requirements, and evolving accounting standards and practices; ongoing changes in the technology industry, and the semiconductor industry in particular, including future growth rates, pricing trends in end-markets, or changes in customer capital spending patterns; our vulnerability to a highly concentrated customer base; the cyclical nature of the industries in which we operate; our ability to timely develop new technologies and products that successfully address changes in the industry; risks related to artificial intelligence; our ability to maintain our technology advantage and protect proprietary rights; our ability to compete in the industry; availability and cost of the materials and parts used in the production of our products; our ability to operate our business in accordance with our business plan; risks related to our debt and leveraged capital structure; we may not be able to declare cash dividends at all or in any particular amount; liability to our customers under indemnification provisions if our products fail to operate properly or contain defects or our customers are sued by third parties due to our products; our government funding for R&D is subject to audit, and potential termination or penalties; we may incur significant restructuring charges or other asset impairment charges or inventory write offs; we are subject to risks related to receivables factoring arrangements and compliance risk of certain settlement agreements with the government; and risks related to the Court of Chancery of the State of Delaware being the sole and exclusive forum for certain actions and proceedings. Revised based on the latest 10-K we reviewed. Company to update as needed. For other factors that may cause actual results to differ materially from those projected and anticipated in forward-looking statements in this press release, please refer to KLA's Annual Report on Form 10-K for the year ended June 30, 2025, and other subsequent filings with the Securities and Exchange Commission (including, but not limited to, the risk factors described therein). KLA assumes no obligation to, and does not currently intend to, update these forward-looking statements.

The KLA Operating Model



Consistent Strategy and Execution

- Application of common processes and discipline
- Cascades throughout the organization
- Strong focus on talent development



Management By Metrics

- Culture of performance and accountability
- Expectation of continuous improvement
- Superior margins driven by market leadership and differentiation



Financial Discipline and Rigor

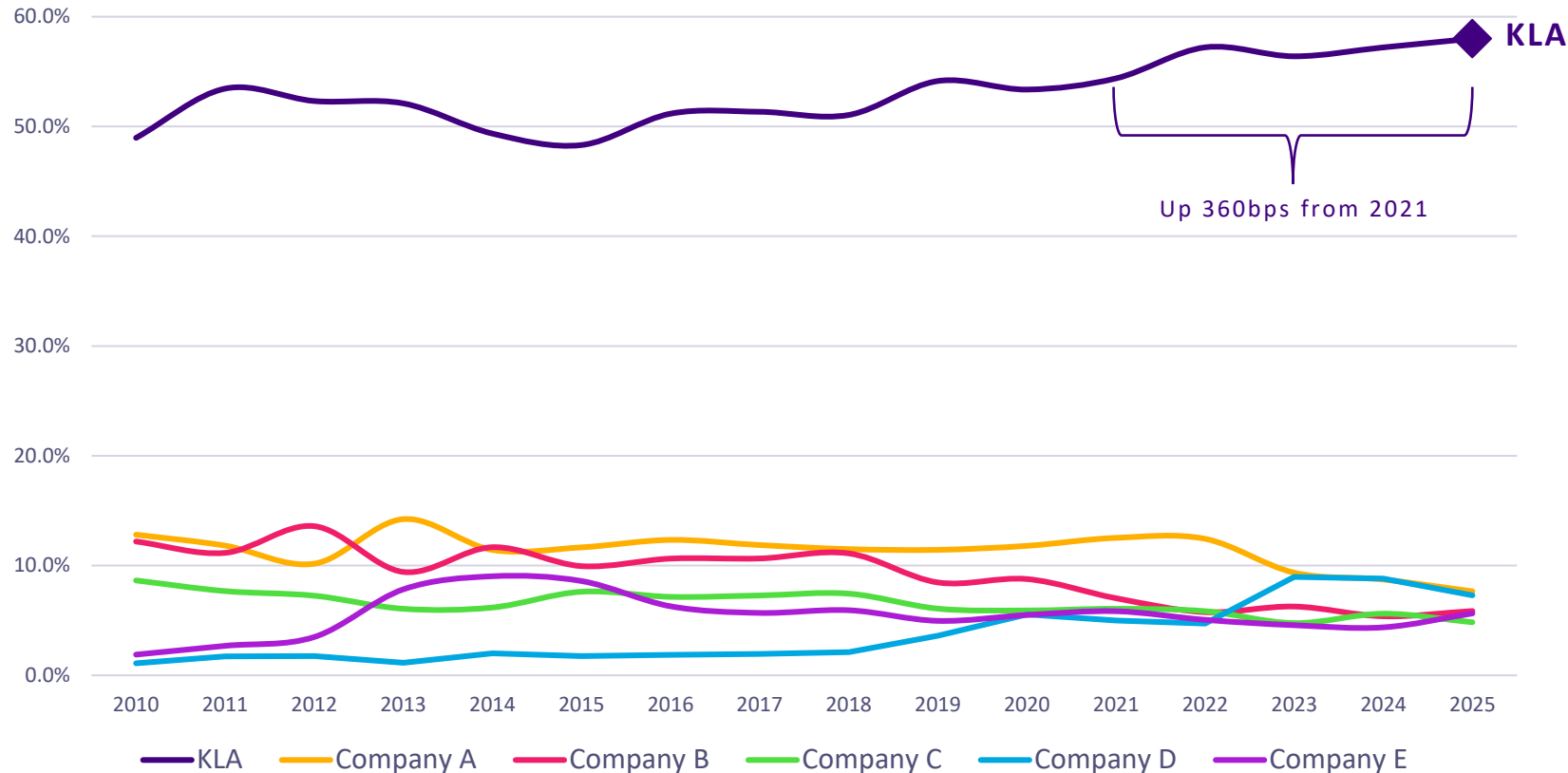
- Exert efficiency and operating discipline in our investments
- Strong track record of high returns
- Focused on enhancing shareholder value

Focused on driving sustainable profitability and growth

KLA Further Extends Process Control Market Leadership

#1 Market Position is Driven by Technology Differentiation and Execution Strength

Semiconductor Process Control Market Share



Source: Gartner April 2026

58%

2025 Process Control Share

- Process Control share rose 360bps from 2021
- Gains in Optical Inspection, E-beam, Advanced Wafer Level Packaging, and Mask Inspection
- Achieved #1 share position in Advanced Wafer Level Packaging Process Control

March Quarter 2026 Income Statement Highlights

\$3.415B

Revenue

62.2%

Gross Margin*

42.6%

Operating Margin*

\$1.2B

Net Income*

KLA's high-performance Teron™ SL670e XP reticle inspection systems are used during chip manufacturing to identify yield-critical defects on EUV reticles in 5nm/3nm logic and advanced DRAM chip production



\$9.40

Non-GAAP Diluted EPS*

\$9.12

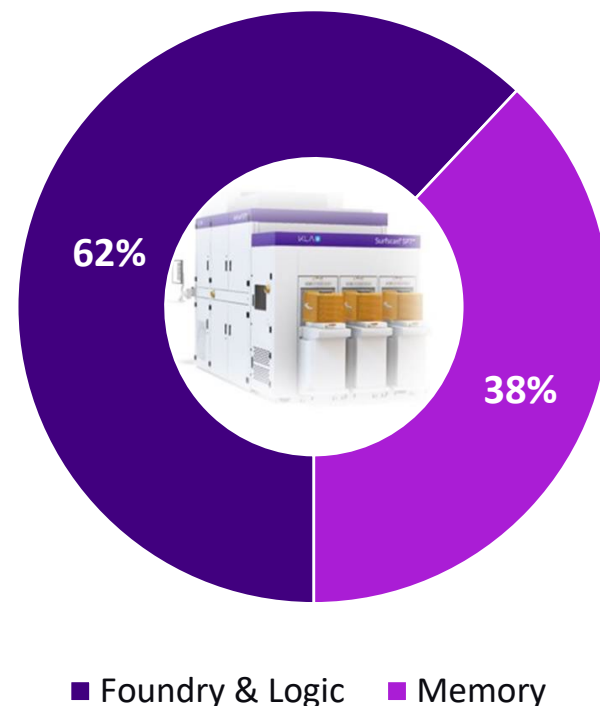
GAAP Diluted EPS

* Non-GAAP metric – please refer to the appendix for reconciliation to GAAP

Breakdown of Revenue by Reportable Segments and End Markets

	Revenue Q3-FY26 (\$M)	Y/Y Growth %	Q/Q Growth %	Revenue %
Semiconductor Process Control (Systems + Services)	\$3,084	+13%	+3%	90%
Specialty Semiconductor Process (Systems + Services)	\$164	+5%	+17%	5%
PCB and Component Inspection (Systems + Services)	\$167	-1%	+10%	5%
Total	\$3,415	+11%	+4%	

Q3-FY26: Semi Process Control End Market System Revenue ¹

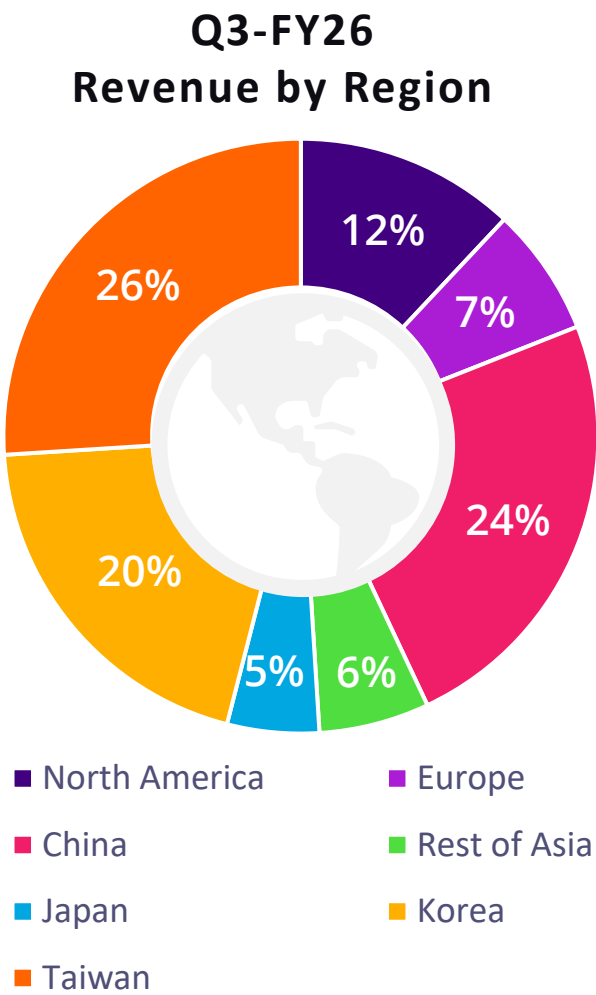


¹ Represents approximate Semi Process Control system-only sales to Foundry/Logic customers or Memory customers only, which does not represent our aggregate customer base

Breakdown of Revenue by Major Product and Regions

	Revenue Q3-FY26 (\$M)	Y/Y Growth %	Q/Q Growth %	Revenue %
Wafer Inspection	\$1,740	+16%	+11%	51%
Patterning	\$615	-3%	-12%	18%
Specialty Semi Process	\$144	+4%	+19%	4%
PCB and Component Inspection	\$95	-9%	+18%	3%
Services	\$775	+16%	-1%	23%
Other ¹	\$46	+142%	+15%	1%
Total	\$3,415	+11%	+4%	

¹Included in the Semiconductor Process Control Segment



Strong Investment Grade Balance Sheet

Balance Sheet Summary¹ (\$M)

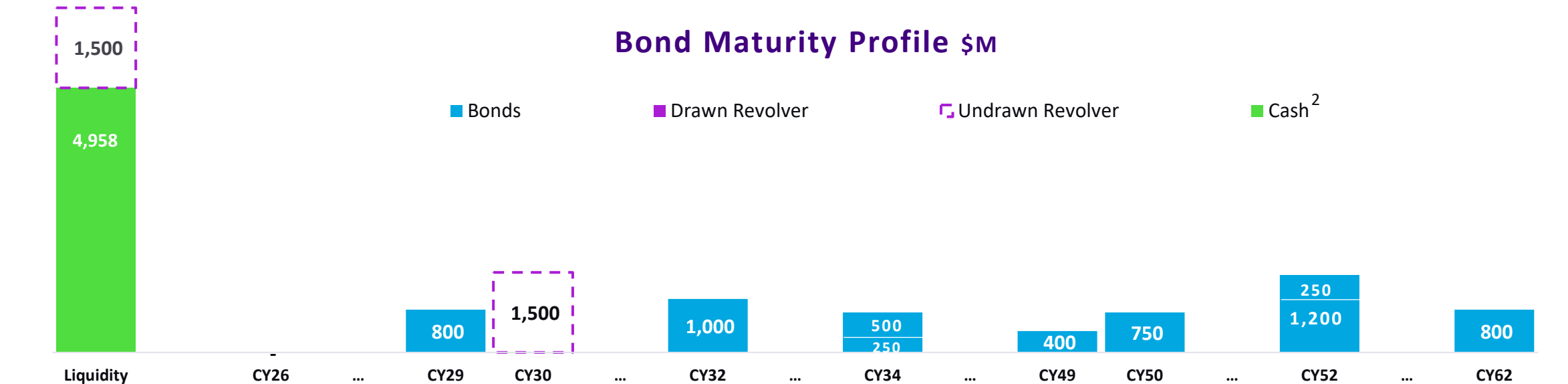
Total Cash ²	\$ 4,958
Working Capital	\$ 7,599
Total Assets	\$ 16,874
Debt ³	\$ 5,887
Total Shareholders' Equity	\$ 5,830

Bond Maturity Profile

Bonds Outstanding	\$5.95B
Weighted Average Interest Rate	4.67%
Weighted Average Maturity	18.3 years

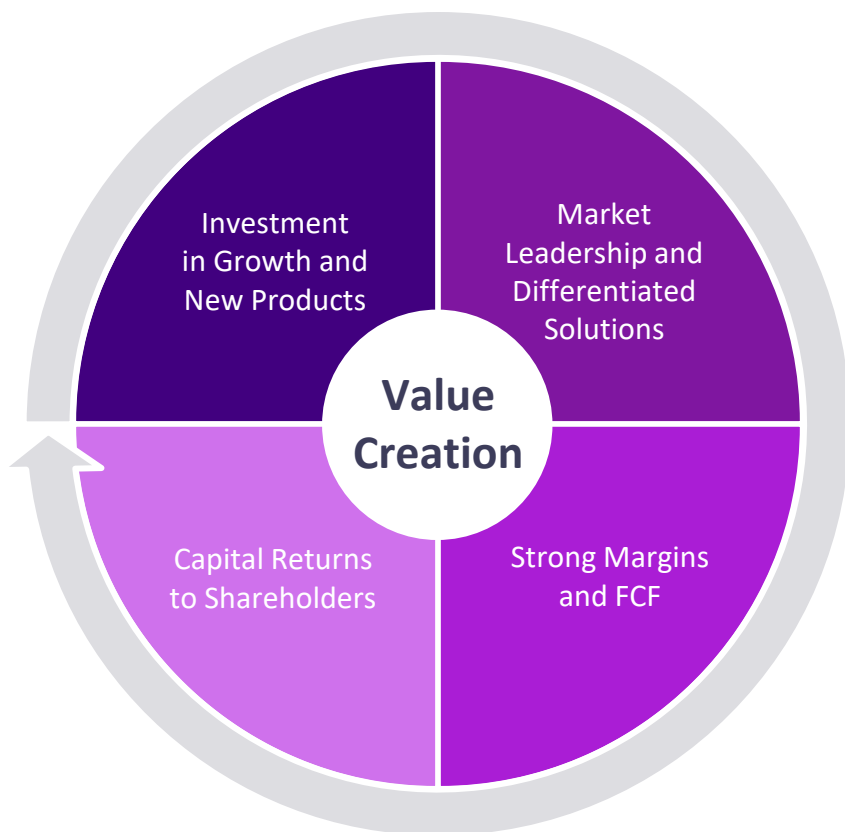
Investment Grade Credit Ratings

Moody's	A2
S&P	A-
Fitch	A

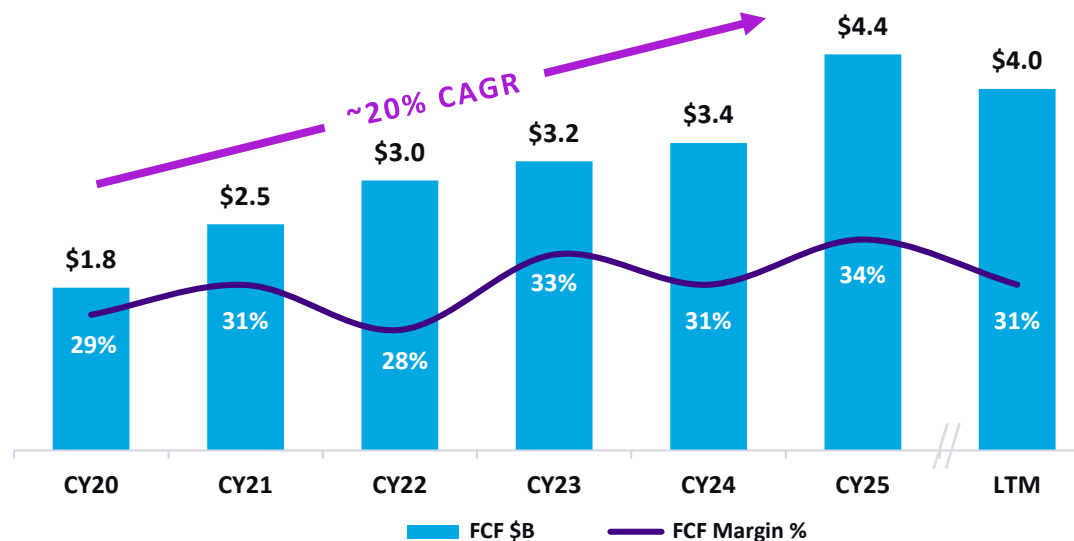


¹ As of 03/31/2026; ² Total Cash includes Cash, Cash Equivalents and Marketable Securities, ³ \$63M in un-amortized debt issuance discounts and costs

FCF Generation Fuels Consistent Capital Return to Shareholders



Free Cash Flow¹ and FCF Margin²



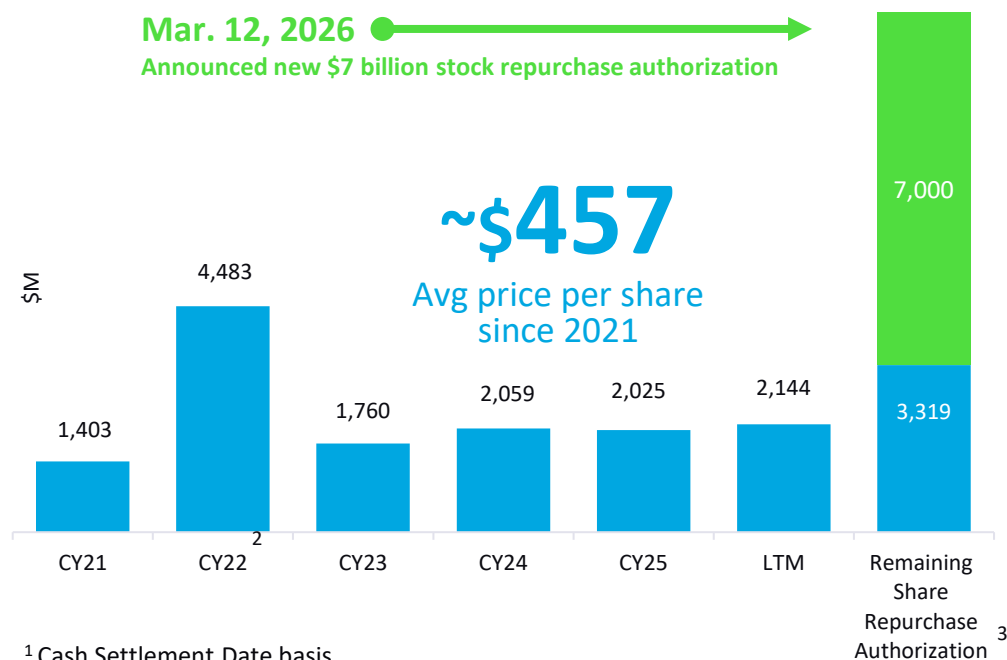
¹ Free Cash Flow (FCF) = Cash Flow from Operating Activities minus Capital Expenditures

² FCF Margin defined as FCF/Revenue; Non-GAAP metric – Please refer to Appendix for reconciliation to GAAP

Committed to long-term >90% FCF returned to shareholders through dividends and share repurchases

Consistent Returns to Shareholders Across Both Repurchases & Dividends

Share Repurchases - Last 5 Years¹



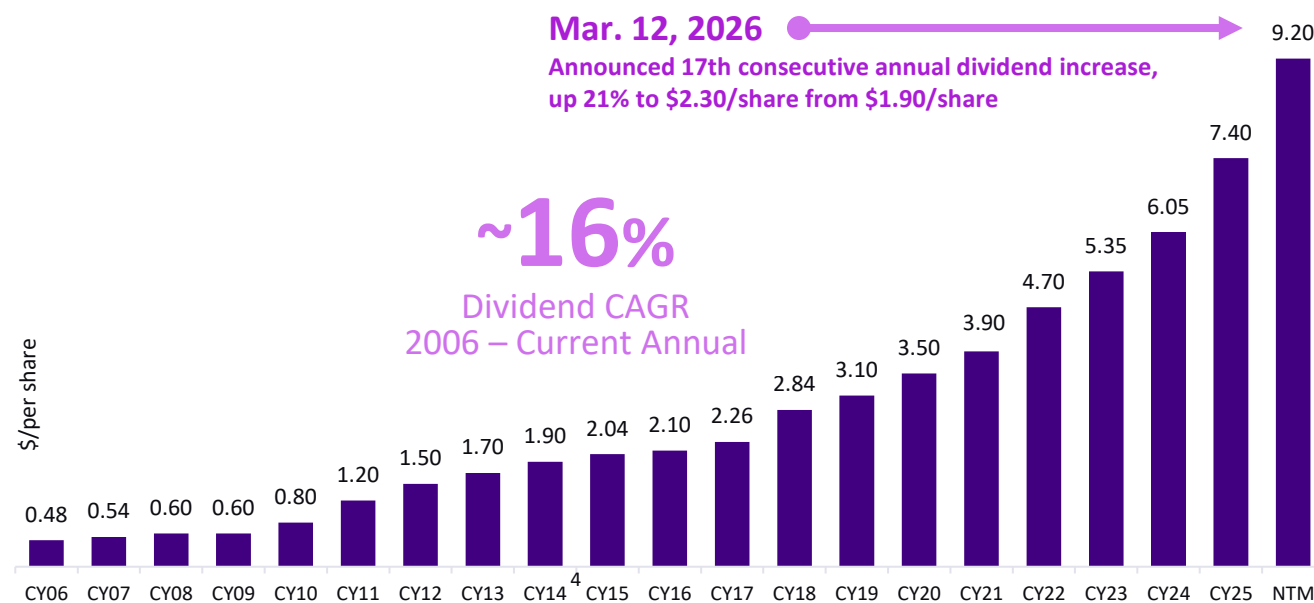
¹ Cash Settlement Date basis.

² Includes \$3B Accelerated Share Repurchases (ASR).

³ Remaining Share Repurchase Authorization includes \$7.0B new authorization and \$3.3B remaining previous authorization as of 3/31/2026.

⁴ Excludes \$16.50 per share special dividend in Dec. 2014.

Track Record of Dividend Increases



Free Cash Flow and Capital Return Highlights

\$622M

March Quarter
Free Cash Flow*

18%

March Quarter
FCF Margin*

50%

March Quarter
FCF Conversion*



(Above) Utilizing enhanced 150nm Broadband Spectroscopic Ellipsometry technology, the Aleris 8510 film thickness measurement system provides engineers with the film metrology data required for development and inline monitoring of DPN layers and all HKMG layers – from gate through poly, including Hf and N dose and film thickness

\$626M

March Quarter
Share Buyback

\$2.14B

LTM Share Buyback

\$249M

March Quarter
Dividends Paid

\$1.0B

LTM Dividends Paid

* Free Cash Flow (FCF) = Cash Flow from Operating Activities minus Capital Expenditures. FCF Margin = FCF/Revenue. FCF Conversion = FCF / Non-GAAP Net Income. Non-GAAP metric
Refer to Appendix for Reconciliation to GAAP. Capital Returns = Dividends + Share Repurchases

Guidance for Q4 FY2026

June 2026 Quarter Guidance

Revenue	\$3.575B +/- \$200M
Non-GAAP Gross Margin*	61.75% +/- 1%
GAAP Diluted EPS	\$9.66 +/- \$1.00
Non-GAAP Diluted EPS*	\$9.87 +/- \$1.00

Macro Assumptions

Semi PC Revenue By End Market ¹

- Foundry/Logic: ~82%
- Memory: ~18% → DRAM ~84% | NAND ~16%

Model Assumptions

- Non-GAAP Operating Expenses*: ~\$665M
- Other Income & Expense (OIE)*, Net: ~\$25M
- Effective Tax Rate*: ~14.5%
- Diluted Share Count: ~131.4M

* Non-GAAP metric – Refer to Appendix for Reconciliation to GAAP

¹ Represents approximate Semi Process Control system-only sales to Foundry/Logic customers or Memory customers only, which does not represent our aggregate customer base

Strong, resilient and delivering shareholder value

KLA 2030 Target Model

Established → June 16, 2022

March 12, 2026

	2026 Target Model	2030 Target Model	Ongoing Financial Framework
Revenue	\$14B +/- \$500M	\$26B +/- \$2.5B	~13% - 17% CAGR
Gross Margin% ¹	~63%	~63.5% +/- 50 bps	
R&D% ¹	~13%	~11%	
SG&A% ¹	~8%	~7%	
Operating Margin% ¹	41-43%	45% - 47%	40% - 50% (Incremental)
Diluted EPS ¹	\$38 +/- \$1.50	\$84 +/- \$8	~1.3x Revenue Growth Rate
Capital Allocation	Target > 85% of FCF	Target > 90% of FCF	Hybrid Approach: Dividend + Repurchases

¹Non-GAAP measure

Macro Assumptions

- CY25-CY30E semiconductor industry CAGR of ~11%
- Wafer Equipment grows ~1 pt. faster than Semi to \$215B +/- \$20B
- ~60% foundry / logic, ~40% memory
- Process Control market grows > WFE

Business Assumptions

- Intensity / market share gain at leading edge of core WFE
- Advanced Packaging augments growth
- KLA share of Wafer Equipment grows > 150 bps
- Services grows 13-15%
- EPC grows mid-high single digits
- Planning tax rate at 14.5%

Focused on Driving Consistent, Profitable Growth and Delivering Shareholder Value

Appendix

Reconciliation of Financial Results



Reconciliation of Non-GAAP Financial Measures

		For the three months ended Mar. 31, 2026
<i>(In millions, except EPS \$ and percentages)</i>		
GAAP net income		\$ 1,201.0
<u>Adjustments to reconcile GAAP net income to non-GAAP net income*</u>		
Acquisition-related charges	a	47.0
Income tax effect of non-GAAP adjustments	b	(17.7)
Discrete tax items	c	8.3
Non-GAAP net income		\$ 1,238.6
GAAP diluted EPS		\$ 9.12
Non-GAAP diluted EPS		\$ 9.40
Shares used in diluted shares calculation		131.8
GAAP income tax expense		\$ 215.8
<u>Adjustments to reconcile GAAP effective tax rate to non-GAAP effective tax rate*</u>		
Income tax effect of non-GAAP adjustments	b	17.7
Discrete tax items	c	(8.3)
Non-GAAP income tax expense		\$ 225.1
GAAP income before income taxes		\$ 1,416.8
<u>Adjustments to reconcile GAAP income before income taxes to non-GAAP income before income taxes*</u>		
Acquisition-related charges	a	47.0
Non-GAAP income before income taxes		\$ 1,463.7
GAAP income tax rate		15.2%
Non-GAAP income tax rate		15.4%
GAAP other expense (income), net		\$ (9.3)
Non-GAAP other expense (income), net		\$ (9.3)

Amounts may not sum due to rounding

* Refer to "Reconciliation of Non-GAAP Measures - Explanation of Non-GAAP Financial Measures" for detailed descriptions and information for each reconciling item.

- (1) Non-GAAP operating income and operating expenses include the effects of the changes in the Company's Executive Deferred Savings Plan Program ("EDSP"), because the changes in the EDSP liability and asset are recorded in selling, general and administrative expense in operating expenses. The benefit associated with changes in the EDSP liability included in selling, general and administrative expense for the quarter ended March 31, 2026 was \$8.8 million. The loss associated with changes in the EDSP assets included in selling, general and administrative expense for the quarter ended March 31, 2026 was \$9.0 million.

		For the three months ended Mar. 31, 2026
<i>(Dollars in millions)</i>		
GAAP gross margin		61.1%
<u>Adjustments to reconcile GAAP gross margin to non-GAAP gross margin*</u>		
Acquisition-related charges	a	1.1%
Non-GAAP gross margin		62.2%
GAAP research and development ("R&D") expenses		\$ 388.8
Non-GAAP R&D expenses		\$ 388.8
GAAP selling, general and administrative ("SG&A") expenses (1)		\$ 291.1
<u>Adjustments to reconcile GAAP SG&A expenses to non-GAAP SG&A expenses*</u>		
Acquisition-related charges	a	(9.9)
Non-GAAP SG&A expenses (1)		\$ 281.3
GAAP operating expense (1)		\$ 679.9
<u>Adjustments to reconcile GAAP operating expense to non-GAAP operating expense*</u>		
Acquisition-related charges	a	(9.9)
Non-GAAP operating expense (1)		\$ 670.0
GAAP operating income (1)		\$ 1,407.5
<u>Adjustments to reconcile GAAP operating income to non-GAAP operating income*</u>		
Acquisition-related charges	a	47.0
Non-GAAP operating income (1)		\$ 1,454.5
GAAP operating margin		41.2%
Non-GAAP operating margin		42.6%

Reconciliation of Free Cash Flow and Related Metrics

Free Cash Flow Measures								
<i>(Dollars in millions)</i>								
	For the three months ended	For the twelve months ended						
	Mar. 31, 2026	Mar. 31, 2026	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021	Dec. 31, 2020
Net cash provided by operating activities	\$ 707.5	\$ 4,401.6	\$ 4,766.3	\$ 3,647.3	\$ 3,476.0	\$ 3,337.9	\$ 2,786.4	\$ 1,968.1
Less Capital expenditures	(85.2)	(387.1)	(384.0)	(285.3)	(308.4)	(351.5)	(250.4)	(200.3)
Free cash flow	\$ 622.3	\$ 4,014.6	\$ 4,382.3	\$ 3,362.1	\$ 3,167.5	\$ 2,986.5	\$ 2,536.0	\$ 1,767.8
Free cash flow	\$ 622.3	\$ 4,014.6	\$ 4,382.3	\$ 3,362.1	\$ 3,167.5	\$ 2,986.5	\$ 2,536.0	\$ 1,767.8
Revenue	\$ 3,415.1	\$ 13,096.7	\$ 12,744.5	\$ 10,847.0	\$ 9,671.4	\$ 10,483.7	\$ 8,165.7	\$ 6,073.0
Free cash flow margin	18.2%	30.7%	34.4%	31.0%	32.8%	28.5%	31.1%	29.1%
Free cash flow	\$ 622.3							
Non-GAAP net income	\$ 1,238.6							
Free cash flow conversion	50.2%							
Net cash provided by operating activities	\$ 707.5							
GAAP net income	\$ 1,201.0							
GAAP metric comparable to free cash flow conversion	58.9%							
	For the three months ended	For the twelve months ended						
	Mar. 31, 2026	Mar. 31, 2026						
Cash paid for dividends	\$ 248.8	\$ 1,006.5						
Cash paid for share repurchases	626.0	2,144.5						
Capital returns	\$ 874.8	\$ 3,150.9						

Amounts may not sum due to rounding

The Company presents free cash flow and certain related metrics as supplemental non-GAAP measures of its performance. Free cash flow is determined by adjusting GAAP net cash provided by operating activities for capital expenditures. Free cash flow conversion is defined as free cash flow divided by non-GAAP net income, and free cash flow margin is defined as free cash flow divided by revenue.

Reconciliation of Guidance

Q4 FY2026 Guidance Range:

<i>(Dollars in millions, except per share amounts)</i>			
		<u>Low</u>	<u>High</u>
GAAP diluted net income per share		\$ 8.66	\$ 10.66
Acquisition-related charges	a	0.34	0.34
Income tax effect of non-GAAP adjustments	c	(0.13)	(0.13)
Non-GAAP diluted net income per share		\$ 8.87	\$ 10.87
Shares used in diluted shares calculation		131.4	131.4
GAAP gross margin		59.72%	61.72%
Acquisition-related charges	a	1.03%	1.03%
Non-GAAP gross margin		60.75%	62.75%
GAAP operating expenses		\$ 668	\$ 680
Acquisition-related charges	a	(9)	(9)
Non-GAAP operating expenses		\$ 659	\$ 671
GAAP other expense (income), net		\$ 25	\$ 25
Non-GAAP other expense (income), net		\$ 25	\$ 25
GAAP tax rate		13.8%	13.8%
Effect of acquisition-related charges	a	0.7%	0.7%
Non-GAAP tax rate		14.5%	14.5%

Note: The guidance as of April 29, 2026 represents our best estimate considering the information known as of the date of issuing the guidance. We undertake no responsibility to update the above in light of new information or future events. Refer to forward looking statements for important information. Also refer to "Reconciliation of Non-GAAP Financial Measures - Explanation of Non-GAAP Financial Measures" for detailed descriptions and information about each reconciling item.

CY 2026 Guidance:

<i>(Dollars in millions)</i>		<u>CY 2026</u>	
GAAP operating expenses		\$ 2,746	
Acquisition-related charges	a	(36)	
Non-GAAP operating expenses		\$ 2,710	
		<u>Low</u>	<u>High</u>
GAAP gross margin		60.5%	61.5%
Acquisition-related charges	a	1.0%	1.0%
Non-GAAP gross margin		61.5%	62.5%
GAAP other expense (income), net		\$ 66	
Non-GAAP other expense (income), net		\$ 66	
GAAP tax rate		14.0%	
Effect of acquisition-related charges	a	0.7%	
Non-GAAP tax rate		14.7%	

Note Regarding Reconciliations of Long-Term Forecasts:

The 2026 target model presented reflects financial targets originally established and disclosed in 2022 and is provided for historical context only. The Company is not updating or reaffirming these targets. The non-GAAP measures include gross margin, R&D as a percent of sales, SG&A as a percent of sales, operating margin, and diluted EPS, and were originally presented on a forward-looking basis. A reconciliation of these forward-looking non-GAAP measures to the most directly comparable GAAP measures is not available without unreasonable effort due to the inherent difficulty in predicting, with a reasonable degree of certainty, the occurrence, financial impact and timing of items that would have been expected to impact GAAP results but would not impact non-GAAP adjusted results, such as acquisition costs, restructuring costs and discrete taxable events, at the time the targets were established. These reconciling items could significantly impact, either individually or in the aggregate, the corresponding GAAP measures.

This presentation includes certain forward-looking non-GAAP financial measures, including gross margin, R&D as a percent of sales, SG&A as a percent of sales, operating margin and diluted EPS, in forecasts for calendar year 2030. The reconciliations for these non-GAAP financial measures to the most directly comparable GAAP measures are not presented because of the inherent difficulty in predicting, with a reasonable degree of certainty, the occurrence, financial impact, and timing of items that would be expected to impact GAAP results but would not impact non-GAAP adjusted results, such as acquisition costs, restructuring costs and discrete taxable events, without unreasonable efforts. These reconciling items could significantly impact, either individually or in the aggregate, the corresponding GAAP measures.

Reconciliation of Non-GAAP Financial Measures

Explanation of Non-GAAP Financial Measures:

To supplement our Condensed Consolidated Financial Statements presented in accordance with GAAP, we provide certain non-GAAP financial information, which is adjusted from results based on GAAP to exclude certain gains, costs and expenses, as well as other supplemental information. The non-GAAP and supplemental information is provided to enhance the user's overall understanding of our operating performance and our prospects in the future. Specifically, we believe that the non-GAAP information, including non-GAAP net income, non-GAAP net income per diluted share, non-GAAP gross margin and free cash flow, provides useful measures to both management and investors regarding financial and business trends relating to our financial performance by excluding certain costs and expenses that we believe are not indicative of our core operating results to help investors compare our operating performances with our results in prior periods as well as with the performance of other companies. The non-GAAP information is among the budgeting and planning tools that management uses for future forecasting. However, because there are no standardized or generally accepted definitions for most non-GAAP financial metrics, definitions of non-GAAP financial metrics are inherently subject to significant discretion (for example, determining which costs and expenses to exclude when calculating such a metric). As a result, non-GAAP financial metrics may be defined very differently from company to company, or even from period to period within the same company, which can potentially limit the usefulness of such information to an investor. The presentation of non-GAAP and supplemental information is not meant to be considered in isolation or as a substitute for results prepared and presented in accordance with United States GAAP.

The following are descriptions of the adjustments made to reconcile GAAP net income to non-GAAP net income:

- a) Acquisition-related charges primarily include amortization of intangible assets. Although we exclude the effect of amortization of all acquired intangible assets from these non-GAAP financial measures, management believes that it is important for investors to understand that such intangible assets were recorded as part of purchase price accounting arising from acquisitions, and such amortization of intangible assets related to past acquisitions will recur in future periods until such intangible assets have been fully amortized. Investors should note that the use of these intangible assets contributed to our revenues earned during the periods presented and are expected to contribute to our future period revenues as well.
- b) Income tax effect of non-GAAP adjustments includes the income tax effects of the excluded items noted above.
- c) Discrete tax items consist of certain income tax expenses/benefits that, by excluding, help investors compare our operating performance with our results in prior periods as well as with the performance of other companies.



Keep Looking Ahead